

M/s Torrent Power Ltd. v. State of U.P. & 3 Others

High Court of Judicature at Allahabad · Division Bench · 30 October 2019 · Writ - C No. 14563 of 2019 · **Writ petition of the distribution franchisee dismissed. The orders of the Consumer Grievance Redressal Forum, Agra (27.2.2018) and the Electricity Ombudsman, Lucknow (28.12.2018) directing grant of a fresh electricity connection to respondent-4 (a purchaser of open land) without requiring him to clear the arrears of the earlier connection installed in the house on the larger property were upheld as free of illegality.**

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HEADNOTE

M/s Torrent Power Ltd., the distribution franchisee for urban Agra, challenged the order of the Consumer Grievance Redressal Forum, Agra (27.2.2018) and the order of the Electricity Ombudsman, Lucknow (28.12.2018) directing it to grant a fresh electricity connection to respondent-4, who had purchased an open piece of land (part of property no. 4/9E/1A) by registered sale-deed dated 9.6.2015 and built a house on it. The franchisee refused the connection on the ground that the house on the larger property (in the name of the vendor's family) carried unpaid arrears of Rs. 10,30,556/- and theft assessments of Rs. 2,42,915/- and Rs. 7,87,641/-. The Division Bench dismissed the writ on independent grounds. First, on the meaning of 'premises': the definition in Section 2(51) of the Electricity Act, 2003 is inclusive and not exhaustive, whereas Clause 2.2(ss) of the U.P. Electricity Supply Code, 2005 (framed under Section 50 of the Act) specifically defines it as the area/portion for which a connection has been applied for or sanctioned for a single consumer; reading them together, open land appurtenant to a house in which a connection was installed does not fall within that connection's 'premises'. Secondly, on Clause 4.3(h): a licensee cannot refuse a new connection to a sub-divided premises on the ground that dues on other portion(s) are unpaid, and may recover only the pro-rata share attributed to the sub-divided premises, so the franchisee's insistence on clearance of the entire dues was de hors Clause 4.3(h). Thirdly, distinguishing Paschimanchal Vidyut Vitran Nigam Ltd. v. DVS Steels & Alloys Pvt. Ltd. (AIR 2009 SC 647): the pro-rata rule presupposes a composite premises with an existing connection, whereas respondent-4 bought open vacant land on which no connection, temporary or permanent, ever existed, so no share of the arrears could be foisted on him. The authorities below having committed no illegality, the writ petition was dismissed.

FACTUAL SUMMARY

The petitioner, M/s Torrent Power Ltd., is a distribution franchisee of Dakshinanchal Vidyut Vitran Nigam Ltd. (DVVNL) authorised to supply electricity in urban Agra, its officers being empowered to act under Sections 126, 135(2) and 152(1) of the Electricity Act, 2003 and the U.P. Electricity Supply Code, 2005 by notification dated 13.9.2012. Respondent-4, Chaudhary Nasir, purchased an open piece of land forming part of property no. 4/9E/1A from Ashif (son of Late Nawab Khan) by registered sale-deed dated 9.6.2015, got it mutated in the Nagar Nigam records, built a house on it and applied for a new electricity connection (application no. 705024083, with Rs. 100 process fee). The franchisee neither granted the connection nor recorded reasons for refusal. Respondent-4 complained to the Consumer Grievance Redressal Forum, Agra (Case No. 61A of 2017). The franchisee resisted on the ground that House No. 4/9-A Nagla Prathvinath, Shahganj, Agra (in the name of Mohd. Ashif Khan) situate in the same premises carried unpaid dues of Rs. 10,30,556/- (with theft assessments of Rs. 2,42,915/- and Rs. 7,87,641/- following FIRs of 18.12.2013 and 27.9.2017), and that no fresh connection was possible in the premises until they were cleared. By order dated 27.2.2018 the Forum, framing the single point whether the complainant was liable to deposit the arrears standing in the owner's name, held that respondent-4 had purchased only open land (with no connection, even temporary) and not any part of the house, found the franchisee's authorities (Madhur Garg and DVS Steels) inapplicable, and held the franchisee guilty of deficiency in service. The franchisee's representation to the Electricity Ombudsman, Lucknow (Representation No. 87 of 2018) was rejected on 28.12.2018, the Ombudsman relying on Clause 4.3(h) to direct a fresh connection within 15 days. The franchisee then filed the present writ petition, which was heard by a Division Bench and decided on 30.10.2019.

REUSABLE CONSTRUCTIONS

1. The definition of 'premises' in Section 2(51) of the Electricity Act, 2003 is inclusive and not exhaustive; the U.P. Electricity Supply Code, 2005 (Clause 2.2(ss)), framed under Section 50 of the Act, specifically defines 'premises', and reading the two together the open land appurtenant to a house is not part of the 'premises' of the connection installed in that house. ¶¶ 19, 21

2. Under Clause 4.3(h) of the Supply Code a licensee cannot refuse a new connection to a sub-divided premises merely because dues on other portion(s) of the premises are unpaid; it may recover only the pro-rata share of outstanding dues attributed to the sub-divided premises. ¶ ¶ 23-24
3. The pro-rata rule of Clause 4.3(g)/(h), as applied in *Paschimanchal v. DVS Steels*, presupposes a composite premises that carried an electricity connection; where the purchaser buys open vacant land on which no connection ever existed, no share of the earlier arrears can be demanded as a condition of a fresh connection. ¶ ¶ 25-26

HOLDING-UNITS

INTERPLAY · UP-2005::2.2(ss)

RATIO

'Premises': open land appurtenant to a house that carried an electricity connection is not part of that connection's 'premises'; the Code's specific definition governs

QUESTION

In deciding whether a purchaser of part of a property may be refused a new connection because of arrears on an existing connection, does 'premises' (Section 2(51) of the Electricity Act, 2003 read with Clause 2.2 of the Supply Code) include open land appurtenant to the house in which the earlier connection was installed?

HOLDING

No. The definition of 'premises' in Section 2(51) of the Act ('includes any land, building or structure') is inclusive and not exhaustive, whereas Clause 2.2(ss) of the Supply Code specifically defines 'premises' as the area/portion of the building/shed/field etc. for which the electric connection has been applied for or sanctioned for a single consumer. The Code having been framed under Section 50 of the Act, there is no conflict between the two definitions. Reading them together, the open land appurtenant to a house in which an electricity connection was granted does not fall within that connection's 'premises'. Hence the open plot purchased by respondent-4, on which he built a new house, is not the same 'premises' as the house that carried the earlier connection and its dues. ¶ ¶ 19, 21

EVIDENCE *"The definition of term "premises" in Act, 2003 is not exhaustive but only provides as to what will be included in premises." ¶ ¶ 21*

EVIDENCE *"the open land appurtenant to a house in which electricity connection was granted does not fall within the definition of term "Premises" as suggested by learned counsel for petitioner" ¶ ¶ 21*

FLAG Judgment carries numbered paragraphs (1-27); pins are paragraph numbers.

HOLDING-UNIT · UP-2005::4.3(h)

RATIO

A licensee cannot refuse a new connection to a sub-divided premises for unpaid dues on other portions; only the pro-rata share attributed to the sub-divided premises may be demanded

QUESTION

Can a licensee refuse a fresh connection to a purchaser of a sub-divided premises until the entire outstanding dues of the whole premises are cleared?

HOLDING

No. Clause 4.3(h) of the Supply Code provides that a new connection to a sub-divided premises shall be given only after the share of outstanding dues attributed to that sub-divided premises is paid, and expressly restrains the licensee from refusing connection only on the ground that dues on the other portion(s) of the premises have not been paid. The petitioner's insistence that the entire dues of the whole premises be cleared before a fresh connection is granted is de hors Clause 4.3(h); the authorities below committed no illegality in directing a connection without insisting on clearance of the whole dues. ¶ ¶ 23-24, 27

EVIDENCE *"It further restrains licensee from refusing new connection on the grounds that dues on the other portion of such premises have not been paid." ¶ ¶ 23*

EVIDENCE *"Stand taken by petitioner before authorities below is de hors the provisions of clause 4.3(h) of Code, 2005 as in any circumstance fresh connection cannot be refused that dues on other portion of such premises have not been paid." ¶ ¶ 24*

FLAG Numbered-paragraph judgment; pins are paragraph numbers.

The pro-rata sub-division rule applies only to a composite premises with an existing connection; open vacant land with no connection bears no arrears

QUESTION

Does the pro-rata sub-division rule (Clause 4.3(g)/(h)), as applied in *Paschimanchal v. DVS Steels*, oblige the purchaser of open vacant land - part of a larger property whose house carried the earlier connection - to pay a share of the arrears before getting a new connection?

HOLDING

No. In *Paschimanchal v. DVS Steels* the dispute concerned part of an industrial plot construed as a composite unit, so the pro-rata rule applied on sale of a portion. Here respondent-4 purchased open vacant land on which no electricity connection, temporary or permanent, was ever installed; the premises that carried the earlier connection is not a composite premises, so the pro-rata rule does not apply and no share of the arrears can be foisted on respondent-4. DVS Steels is therefore distinguishable, and the authorities below rightly directed a connection without requiring clearance of the earlier dues. The writ petition was dismissed. ¶ ¶ 25-27

QUALIFIER

DVS Steels is distinguished on facts (composite industrial plot with an existing connection versus open vacant land with none); the Court does not doubt the pro-rata principle itself.

EVIDENCE “in the present case, land purchased by respondent-4 is part of open vacant land on which no electricity connection either temporary or permanent was installed. The premises in which earlier electricity connection was installed is not a composite premise and therefore the rule of pro rata basis will not be applicable.” ¶ ¶ 26

EVIDENCE “present writ petition fails and is liable to be dismissed. It is, accordingly, dismissed.” ¶ ¶ 27

FLAG Numbered-paragraph judgment; pins are paragraph numbers.

PRINCIPLE TAGS

premises-excludes-appurtenant-open-land For arrears / new-connection purposes, 'premises' (Code Clause 2.2(ss), read with the inclusive Section 2(51) of the Act and Section 50) does not extend to open land appurtenant to the house in which the earlier connection was installed. ¶ ¶ 19, 21

no-refusal-of-connection-for-other-portion-dues Clause 4.3(h) bars a licensee from refusing a new connection to a sub-divided premises for unpaid dues on other portions; only the pro-rata share attributed to that sub-divided premises may be demanded. ¶ ¶ 23-24

pro-rata-rule-needs-composite-premises The pro-rata sub-division rule applies to a composite premises with an existing connection; open vacant land with no connection bears no arrears, distinguishing *Paschimanchal v. DVS Steels*. Lead authorities: *Paschimanchal Vidyut Vitran Nigam Ltd. v. DVS Steels & Alloys Pvt. Ltd.* [SCJ-099]. ¶ ¶ 25-26

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — THE LIABILITY OF THE PREVIOUS OWNER (MOHD. ASHIF KHAN) FOR THE OUTSTANDING DUES OF RS. 10,30,556/- AND THE THEFT ASSESSMENTS OF RS. 2,42,915/- AND RS. 7,87,641/- ON THE EARLIER CONNECTION.

Not adjudicated; the Court held only that these dues cannot be foisted on respondent-4 as a condition of his new connection, leaving the licensee's remedies against the defaulter open. ¶ ¶ 14, 26-27

RELATED CASES — SEE ALSO

SCJ-099 — *Paschimanchal Vidyut Vitran Nigam Ltd. v. DVS Steels & Alloys Pvt. Ltd.* (SC) - the foundational authority on transferee liability and the Clause 4.3(g)/(h) pro-rata rule, distinguished here as confined to a composite sub-divided premises.

SCJ-821 — *Shri Balajee Laboratories v. Executive Engineer* - the other Clause 4.3(h) case in the corpus, on when a transferee may be required to clear previous-owner arrears as a condition of a new connection.

SCJ-007 — *Anubhav Jaiswal v. State of U.P.* - Clause 4.3 dues as first charge on the premises and pro-rata division of dues on a legally sub-divided premises; sibling on Clause 4.3(g).

SCJ-098 — *Palika Towns LLP v. State of U.P.* - transferee/auction-purchaser liability for previous electricity dues; related on the arrears-on-transfer cluster.

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Paschimanchal Vidyut Vitran Nigam Ltd. v. DVS Steels & Alloys Pvt. Ltd. & Ors.</i> AIR 2009 SC 647 [SCJ-099] Supreme Court of India	A transferee/subsequent occupant with no privity of contract cannot be asked to pay a predecessor's electricity dues (which are not a charge on the premises), but a distributor may stipulate clearance of the premises' arrears as a condition of a fresh connection; provisions like Clause 4.3(g)/(h), applying pro-rata on a legally sub-divided (composite) premises, are valid safeguards.	Distinguished on facts - the pro-rata rule applies to a composite sub-divided premises, not to open vacant land that never had a connection ¶ ¶ 25-26	Petitioner	Distinguished
<i>Madhur Garg v. North Delhi Power Ltd.</i> 129 (2006) DLT 2013 High Court of Delhi	Cited by the petitioner-franchisee in support of denying a fresh connection until previous electricity dues on the premises are cleared.	Found inapplicable / distinguished on the facts ¶ ¶ 12, 17	Petitioner	Distinguished

SCJ-2201 · M/s Torrent Power Ltd. v. State of U.P. & 3 Others · · Supply Code Jurisprudence

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.